



Identifying Your Customers

Understanding who your potential customers are enables you to develop products and services to meet their needs. It also allows you to promote your business using the most effective means in order to attract sales.

Targeting customers

Different people have different needs, interests, and desires, which is reflected in the products and services they buy. As only certain people will be interested in what your business offers, these are the ones to target.

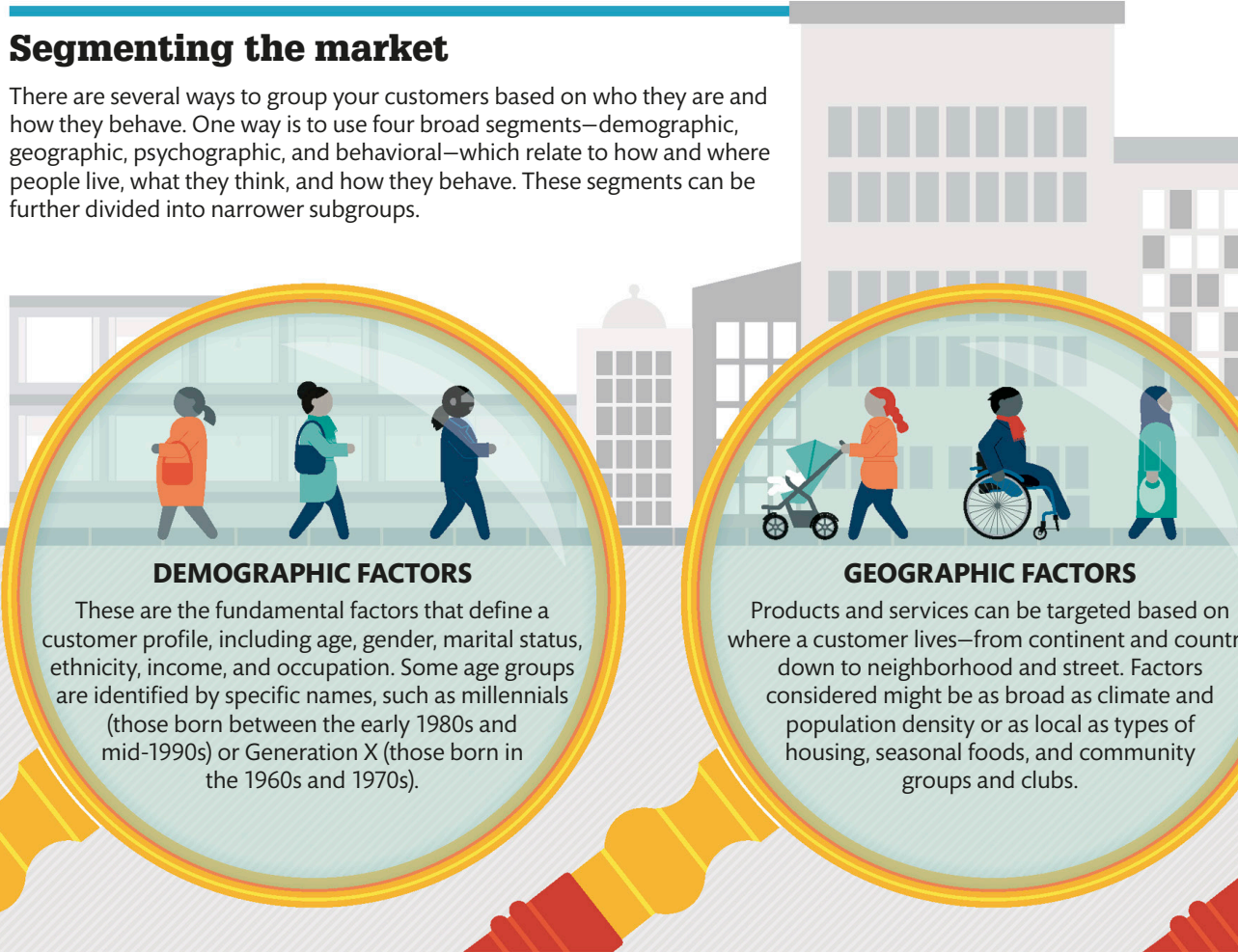
Identifying this group, or segment, allows you to develop your products and services to specifically meet their needs and expectations. It will also enable you to promote your business in a targeted way, using

messages, techniques, and channels that will appeal to them. Alternatively, you can also use your own knowledge and experience of a particular segment, and plan your business accordingly.

One of the most widely used tools to help identify your customers is market segmentation. This involves breaking the whole market down into four groups with shared characteristics, then to pinpoint potential customers within those groups (see below).

Segmenting the market

There are several ways to group your customers based on who they are and how they behave. One way is to use four broad segments—demographic, geographic, psychographic, and behavioral—which relate to how and where people live, what they think, and how they behave. These segments can be further divided into narrower subgroups.



DEMOGRAPHIC FACTORS

These are the fundamental factors that define a customer profile, including age, gender, marital status, ethnicity, income, and occupation. Some age groups are identified by specific names, such as millennials (those born between the early 1980s and mid-1990s) or Generation X (those born in the 1960s and 1970s).

GEOGRAPHIC FACTORS

Products and services can be targeted based on where a customer lives—from continent and country down to neighborhood and street. Factors considered might be as broad as climate and population density or as local as types of housing, seasonal foods, and community groups and clubs.